

Finolex Cables Ltd. (FINCABLES)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Jun 2025

Registered Office:

26-27, Mumbai -Pune Road, Pimpri, Pune – 411018 . Tel: 020 27506200.

Visit us at: www.finolex.com | Email: sales@finolex.com | CIN: L31300MH1967PL016531

FCL:SEC:SE :25:43 04th June, 2025

Corporate Relations Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Building, P J Towers

Dalal Street, Fort

Mumbai – 400 001 The Manager

Listing Department

National Stock Exchange of India Ltd

`Exchange Plaza', C -1, Block G,

Bandra – Kurla Complex, Bandra (E),

Mumbai – 400 051

Scrip Code: 500144 Scrip Code: FINCABLES

Sub: Transcript of the Analysts/Investors Meet held on 2nd June 2025 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 02

nd June, 2025 at 4.00 pm (IST) to discuss financial results of the Company for the quarter and Financial Year ended on 31st March, 2025.

The transcript of recording can also be accessed on the Company's website at <https://www.finolex.com/View/Page/Analyst-meeting-transcript> .

Kindly take the same on record.

Thanking you,

Yours faithfully,

For FINOLEX CABLES LIMITED

Gayatri Kulkarni

Assistant Company Secretary

& Compliance Officer

Encl .: As above

Page 1 of 12

"Finolex Cables Limited

Q4 FY '25 Earnings Conference Call "

June 02, 2025

M
ANAGEMENT : MR. MAHESH VISWANATHAN –
CHIEF FINANCIAL OFFICER – FINOLEX CABLES
LIMITED

Finolex Cables Limited
June 02, 2025

Page 2 of 12

Moderator: Good evening, everyone, and thank you for joining us on Finolex Cables Limited Q4 FY '25 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Director, CEO and Chief Financial Officer from Finolex Cables. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature. We will begin the call with the opening remarks from the management, after which we will have the forum open for an interactive Q&A session.

As a reminder, all participant lines will be in the listen only mode and should you need assistance during this conference call, you may signal the operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahesh Viswanathan. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, N eerav. Good afternoon, everybody. Thank you for joining on this call. I'm sure by now, you must have seen the results, reviewed them, dissected them. And you will have questions, I'll be happy to answer them. By way of introduction, the quarter has been decent.

After a difficult second and third quarter, I think we have pulled back with a growth of about 14% quarter -on-quarter and 35% from the immediately preceding quarter.

Profit numbers are also good. At INR208 crores, the profit before tax, the highest that we have seen so far per quarter. Margins were under pressure throughout the year. There has been a lot of volatility on the commodity side. And that, together with a few changes in the mix has resulted in a lower contribution, lower margin during the year.

Some of it, we will be able to catch up. Those are timing differences, which we will be able to catch up. The rest, the product mix and so on, we'll have to see how to manage those in the future. Barring this short comments, I do not have much more by way of an introduction.

So let's go straight into the Q&A session. So I'm open to questions now.

Moderator : Thank you very much. The first question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: I have 2 questions. First is, could you please elaborate on the commercial potential and the margin profile of the e-beam products which were launched during the year? And second is, any guidance for the capex for this year and the coming year? And any update on the BharatNet opportunity?

Mahesh Viswanathan: Okay. So 3 questions, actually. On the e-beam project that was commissioned early this year, January. And we have launched 2 sets of products in the market. One is on the construction side, building wire, which is our most premium wire, it has all the features, halogen-free flame resistant as well as e-beam cured. So in terms of life, minimum life of about 25 years. And in terms of performance, far superior to everything else that we have got so far.

That was launched in -- towards the end of February. Simultaneously, we also launched the solar cables. There was a little bit of delay in getting the BIS approval, which we now have. So

Finolex Cables Limited
June 02, 2025

Page 3 of 12

these are 2 offerings that are available at this point in time. We expect the plan to generate revenue when it is in full steam of about INR 500 crores to INR 600 crores per year from these 2 products. Newer products will add on to that revenue stream. So that's one question answered. Your second question was on the capex. Last year...

Vidit Trivedi: Sorry to interrupt you. Second was on the margin profile of these new launch products?

Mahesh Viswanathan: Okay. We still have to find the right pricing part for it. They have just been launched. So at the moment, the launch prices are quite attractive. But I think over the next 3 to 4 months as we see demand picking

up, that is when our final pricing policy very much.

So I think it's a little early to talk about that at this moment. The second part of your question was on capex. '24, '25, our capex has been about -- actual spend has been INR 236 crores. We had announced a INR 500 crores plan 2 years ago. Out of which about INR 160 crores was spent in '23, '24. 235 -- INR236 crores was spent in the last fiscal. The remaining part will be spent in the current year. Most of it -- so all those projects should get closed by the end of this fiscal.

Additionally, always, there is a reinstatement capex of about INR40 crores, INR 50 crores. So that is something that will be spent. We're working on a few other plants, but not ready as yet to make an announcement. So once those are finalized, we'll come back.

The last part of your question was on the BharatNet project. We had participated in -- as a consortium partner, we had taken part and we have placed bids in 2 of those circles

Unfortunately, we did not -- our consortium did not get any place position in those 2 bits.

However, many of the winners across the 16 circles, have used our manufacturers authorization to place their bids so we are in discussion with many of those winners, and we are hopeful of a decent level of business in the current and the next years.

Mode rator : Next question is from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: So my first question is regarding the mix change that you were talking about in your initial remarks. Maybe I understand what exactly have you changed in the production mix and what percentage does each end user segment account for...

Mahesh Viswanathan: In construction wide still accounts for the majority of sales, but what has changed in terms of mix is the stand-alone sales through in the form of standard boxes. That has come down vis-a-vis project sales. And as you know, project sales is where the price is discounted to some extent. So the composition of project sales to total has changed over the last few years, and this year was more pronounced. So that's the major reason.

Sonali Salgaonkar: So if I recollect, we were about 65% to 70% B2C or retail and the reminder was B2B in that way, where are we in B2B or projects now?

Finolex Cables Limited

June 02, 2025

Page 4 of 12

Mahesh Viswanathan: No. Like the -- we do not sell directly to any project, we sell it through our distribution channel only. So in that sense, our sales are routed through the channel. However, we know that many of those sales are going to projects. And therefore, there is a discounting on the price.

Sonali Salgaonkar: Yes, very clear. So what is the mix right now of projects versus, say, 3 years back?

Mahesh Viswanathan: That would have changed maybe between -- about the 8% to 10%, that would be a shift.

Sonali Salgaonkar: So incremental delta 8% to 10% towards project?

Mahesh Viswanathan: Correct.

Sonali Salgaonkar: So my second question is regarding the BharatNet commentary that you made that many of the bidders, I didn't quite understand that. Are you saying that many of the bidders are going to use other optic fiber cables for that?

Mahesh Viswanathan: See, at this time around quite a few of the bidders are not actually producing optic fiber cable. So they will have to source their cables through from somebody. And therefore, they were allowed to use manufacturers authorization to place their bids. And this is not new it's happened in the past as well. But the numbers of non-OFC manufacturers have been more this time around.

Sonali Salgaonkar: And by when do you expect the volumes of OFC to pick up for this BharatNet?

Mahesh Viswanathan: I think the orders have recently been released. While the bid mechanics concluded sometime last November, the actual orders have been -- have gone out to the eventual winners sometime in March or April. So the

procurement process is on -- they have 3 years to build and 10 years afterwards to service. So there is -- it is the procurement process has just started for most people.

Sonali Salgaonkar : Understood. Sir, my third question would be regarding pricing actions. Could you quantify what are the price increases that you've taken in Q4? And some April to now, has there been any pricing changes in cables and wire?

Mahesh Viswanathan: Well, we had one day before yesterday. So in the last fiscal, there were 12x when prices were revised only on wires. So it's almost once a month. There have been a few cases where -- about six cases where the prices were revised downwards and another 6x when the prices went up.

That is purely a reaction to the volatility that was there during the year on commodity prices.

So net impact, I think costs would have gone up about 12.5% to 13%.

Sonali Salgaonkar : In the fiscal FY '25, right?

Mahesh Viswanathan: Yes. In the fiscal.

Sonali Salgaonkar: Yes. During April and May, you mentioned that about -- just about a few days that you took up pricing decision?

Finolex Cables Limited

June 02, 2025

Page 5 of 12

Mahesh Viswanathan: Effective yesterday, prices have changed by 3%.

Sonali Salgaonkar : Prices between, so upwards?

Mahesh Viswanathan: Yes.

Sonali Salgaonkar : Understood. Sir, my last question is regarding EHV. A lot has been talked about the solid opportunity in EHV. Any thoughts or plans to increase our projects there?

Mahesh Viswanathan: EHV, the growth prospects are still very good. There is concentration of requirements around the plus 160kV plus range. But as you know, these are projects which are very long in every part of that business, whether it is the tendering or the decisions on the tenders are subsequently on our and execution. Currently, I think the market size is approximately anywhere between \$400 million to \$500 million worth likely improvement towards \$1.5 billion, \$2 billion is not far -fetched.

I think at this moment, we are reasonably placed in terms of ability to get orders. But then the business being -- a long lead time business, it takes more than 18 months, 20 months to complete a particular project and then more time to collect the monies around the project. So that's the nature of this particular business.

Sonali Salgaonkar : So currently, as of FY '25, how much of your revenue is coming from EHV?

Mahesh Viswanathan: That is in the JV. It's not in our books.

Moderator: Next question is from the line of Manoj Gori from Equirus Securities .

Manoj Gori : So I have one question. If I look at the FY '25 performance and when I look at the other companies reporting the numbers and the commentaries probably somewhere we feel like we have underperformed in the via space, especially in the B2C side. And you just highlighted like some of the growth in FY '25 has been driven from the project business.

So what are the areas? And what were the reasons which led to this underperformance versus peers probably how should we look at things in the coming time. Is this -- are these issues behind us, so probably will take some time for this underperformance to arrest and probably then grow in line or better than the industry?

Mahesh Viswanathan: Okay. My first statement was after a difficult second and third quarter. So second and third quarter was difficult for us. First quarter was across the board. I think everyone faced a problem in terms of the in terms of the lack of enthusiasm from the market after the initial reports around the election. But subsequently, as others have gotten off the mark quicker than us. That is true. But I think we've done a fairly good fourth quarter.

In terms of growth in the fourth quarter, our numbers are not very different from our peers. Some of them have larger volumes, yes, but the growth numbers are not very different. So I
Finolex Cables

Limited

June 02, 2025

Page 6 of 12

think -- we have -- we had lagged in the second and third quarters, but have caught up in the fourth quarter. And I think that is something that is behind us right now.

Manoj Gori : Right, sir. Sir, secondly, if you look at from the demand perspective, what we are seeing is probably from last 2, 2.5 years, we are seeing wires relatively growing slower than cables ...

Mahesh Viswanathan: This is true.

Manoj Gori: We are a wire dominant company. How do you see demand environment panning out from, let's say, FY '26 or FY '27 point of view? If you can break it into two parts, FY '26 and '27, both individually. And what would be the trigger? Because obviously, real estate, we have been talking a lot that there should be some pickup, but we are not seeing any major signs of revival of demand for it as a category. How should we see this?

Mahesh Viswanathan: I think there is -- if you look at the registration and other data that is there, there is definitely inventory reduction from the -- on the unit side. Simultaneously new projects are getting announced as they near completion is when the demand for wires would pick up. As you said, we were expecting the pickup to happen over at least the second half of last year, which is not.

But I think with the kind of construction activity that is going on, it wouldn't be far -fetched to say that the current fiscal from the second half, you should see a revival in demand.

Hopefully, the level of volatility that was there last year, doesn't continue through this year. If there is stability, then I think things would pick up. Yes. The business -- this is what I believe at this point in time. And I think you should see growth next year for sure and probably from the second half of this year.

Manoj Gori : Sir, lastly, if I may touch up on the margins. In Q3 and Q4, we have relatively done better on margin delivery. Should we assume that probably those margin pressures, which we are witnessing the worst is behind us. From year onwards, either this should be the base case margin profile and probably we might see gradual improvement.

Mahesh Viswanathan: I would say that there should be gradual improvement. I think if you look at our numbers over the last 5, 6 years, this '24, '25 was probably the first year when the margins have taken a dip and then come back to -- and not yet come back to where it was, but going towards that.

I do believe that most of the margin pressure related issues are behind us. We have addressed them as best as we can. And I think that from now, one should see stable to renewal growth over the next period.

Moderator: Next question is from the line of Kaustav Bubna from BMSPL Capital.

Kaustav Bubna : Just wanted an update on the optic fiber cable capacities that were supposed to come up? Or what's the update over there?

Finolex Cables Limited

June 02, 2025

Page 7 of 12

Mahesh Viswanathan: Okay. So on the optic fiber business, there were a few measures that we were taking. The first one was to set up a preform facility. So the facility is ready. It's been mechanically installed and completed. We are waiting for the production trials to start that is slated for sometime this month. When that is over, then that should take about 2 to 3 months before the trials are over and the plant stabilizes. So from then onwards, then I think we have the product in the market as well as for our own consumption. So that would be the preform.

The second step was on the fiber capacity increase. Fiber capacity -- the machine is expected sometime towards the second half of this year. I think somewhere around December time frame and would take another 2 to 3 months to install and commission. So when that is done, fiber capacity will go up from the current 4 million kilometers to 6 million kilometers.

The last stage was for adding another line to the cabling capacity.

The building is ready. But

once the fiber line is commissioned, that's when those equipments would come in. But those are fairly simple to install, it should not take too much of time. Within 6 months, that can be made ready.

Kaustav Bubna : And could you speak a little bit about what's happening with pricing on the fiber side and...

Mahesh Viswanathan: The last fiscal fiber prices went through one of their lowest numbers. Partly, in view of the excess capacity as well as excess stocks available in China. While India had brought in additional duty, the prices kept falling, and I have even heard of \$2.5 a kilometer kind of numbers at which price it's really unrealistic to produce.

But having said that, over the last 2 to 3 months, we have seen a change in the way the fiber market has been developing. Globally, the consumption and demand related activities in the U.S. have strengthened very quickly, and there is a lot of demand in North America. There is

also additional demand coming in from Europe. So we are seeing prices firming up now. So it's closer to \$3.5 right now as opposed to \$2.5, which was prevailing for most of the year last year.

Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor : To take the discussion forward on the OF and the OFC prices. So you were alluding to the fact that the prices for OFC has moved up from an average of 2.5 to 3.5. This is what just -- that is for the fiber and -- that is the fiber price, okay. Then what are the fiber cable prices, OFC prices?

Mahesh Viswanathan: That would depend on the design of the cable, right? So you might have 2 fibers, 4 fibers, 288 fibers so the design mix, the price change. I mean there is no standard single price for all the cables.

Saket Kapoor : Sorry, sir. Come again?

Finolex Cables Limited

June 02, 2025

Page 8 of 12

Mahesh Viswanathan: I'm saying there is no standard single price for all the cables because the price of the cable will depend on the design of the cable.

Saket Kapoor : If we take the utilization levels for the optic fiber cable for our company and also for the country, domestically, how have the utilization levels been for the last fiscal? And what kind of uptick we have seen in the utilization levels for the current 2 months of this fiscal?

Mahesh Viswanathan: Last year, I think was fairly low across the board because government orders had been delayed. And like I mentioned earlier, while the tendering process for the Bharat Broadband project got completed sometime in November, orders have been released only sometime in March or April -- sorry, February or March.

So orders to the cable manufacturers have not -- there were not much. So the utilization levels would have been fairly low last year, around 50%, 55%. This year, I think that should change because the delivery of those 16 circles is required to be done in 3 years. And while there is fiber capacity, cabling capacity will have to catch up because peak capacity may not be sufficient. So I think the utilization levels will improve in the current and the next fiscal for sure.

Saket Kapoor : Because I'm just coming to the point by the comment by one of the leading optic fiber cable manufacturer in the country where in their release, they have mentioned about utilizing reaching the optimum level of, say, 90% to 100% by the month of July on the basis of what the

tendering process has been. So are we also expecting those high levels of optic fiber cable utilization by the first or the second quarter? Or what's the outlook currently for the same, sir?

Mahesh Viswanathan: Okay. My gut feel says that it would be more later than earlier. I think July is probably -- from where I stand, it's probably a little optimistic but later for sure.

Saket Kapoor : Okay. For the later half, we can expect higher utilization level.

Mahesh Viswanathan: That's for sure

, yes.

Saket Kapoor : And these are on premise of both the global demand from the data centers and also the domestic demand coming up from the BharatNet tendering. These are the 2 demand drivers, the key demand drivers.

Mahesh Viswanathan: Correct. So the BharatNet project, which has been tendered out recently, that only completes 16 circles. So this is Phase 3. There are other states which are doing it on their own. So for example, Gujarat, Maharashtra, I think Karnataka -- not Karnataka, Tamil Nadu, Andhra they are all doing it on their own. So that is still expected to come shortly. Those DPRs are I understand currently being made.

Gujarat had come out with the tender, but the others not yet. So that demand is going to drive the requirement of cables over the next 2 to 3 years. Besides that, of course, there will be consumption in data centers. There is also consumption happening at the last mile

Finolex Cables Limited

June 02, 2025

Page 9 of 12

connectivity. So as the 5G rollout happens or as the acceptance happens, there'll be more fiber - to-home applications. So that will also consume different kind of cables.

Saket Kapoor : Okay. So in just a summary, we can conclude that the worst for the optic fiber cable demand and utilization levels are behind, and going ahead, the -- what seems to be coming 2, 3 years, they are going to run at full steam depending upon how and when the projects get opened up and for the process to continue.

Mahesh Viswanathan: Yes, I think it is a positive output for sure.

Saket Kapoor : Okay. Sir, just a small question on the total capacity of optic fiber cable in the country, taking into account the type of capacity addition that has happened over the last few years, what is the total capacity? And where are we in terms of our market shares domestically?

Mahesh Viswanathan: Our shares have been around 11% in this market. Total capacity, I would be guessing if I make a number, I think I'll have to look up at those numbers before I say something right now. I can come back to you later.

Saket Kapoor : So now on the electrical cable part of the story, sir, how are we seeing the demand drivers for the EHV cable and also the new setup being for the renewable segment that is leading to the new distribution line being set up. How are we seeing the demand drivers from there? And what portion of our revenue is derived from the EHV segment, the extra high voltage?

Mahesh Viswanathan: So like I mentioned earlier, the EHV part of the business is being done by a joint venture. So those numbers are not included in our stand-alone results, only the profit or losses accounted in our consolidated results. But EHV as a segment seems to be growing. I earlier mentioned that current level of the market is about \$500 million. And we see that it can grow up to \$2 billion in the next 4 to 5 years. So that's the potential that is there. Players, there are multiple players in India also now.

And some of them are now entering the field with technology that we brought in 10 years ago or what Universal brought in 15 years ago. So there is definitely a place for multiple players at

this point in time. The difference between the traditional wire business as well as this is that the gestation period in this business is fairly long.

Each project takes anywhere between 12 to 24 months to complete. So your sales recognition is not at one point in time, it spreads over 24 months. So that's the challenge, and that's the business. So from an existing level of \$500 million to a potential of \$2 billion is the market size...

Saket Kapoor : Sorry, I interrupted you. You wanted to conclude?

Mahesh Viswanathan: That is on the EHV part. You had another question, which is on the renewables. So we have -- like I mentioned earlier, we have introduced wires and cables, which are cured by e-beam. The application primarily was to address the solar power i

ndustry. These are cables with an

Finolex Cables Limited

June 02, 2025

Page 10 of 12

extremely long life. So if you expect, for example, a panel to last 25, 30 years, you would also

expect the cables to last the same number of years. Otherwise, we'll have to keep changing the cables every so often.

Once they're cured by E -beam, that results in a very long life for these cables. We have launched them in February, and we have recently got our certifications through BIS also. And we expect this industry to grow. I think currently, the volume of these cables that are sold are anywhere between 20,000 to 25,000 kilometers per month, and that can only increase given the fact that our government's target to improve the power generation from solar and wind generation is climbing and the targets for the future years are even higher than what they are today.

So we do see a large potential in this space. Additionally, the E-beam facility, we have also launched a premium provider product. So this will go into building into construction, where we expect the life of the wire to be a minimum of 25 years. So that would also add to overall volumes, plus it would add to the premiumization of the product.

Saket Kapoor : And sir, in this space, are these the E -beam cross -link solar PVs cables? Or what are the product portfolio...

Mahesh Viswanathan: These are cross -linked Polyethylene .

Saket Kapoor : Come again, sir?

Mahesh Viswanathan: These are XLPE cured by E -beam.

Saket Kapoor : Okay. So these are different electron beam and the one you mentioned at 2 different types.

Mahesh Viswanathan: No, no. The curing is done by an electron beam. So the cable is finished with XLPE, but it is -- after it is finished, it is cured through an E -beam process.

Saket Kapoor : Okay. So we have the entire setup to...

Mahesh Viswanathan: We have the setup. We have got 2 accelerators, one at NAV and the other one at 1.5 NAV. So we can produce multiple sizes of products through the machine.

Saket Kapoor : And are we also in the submersible cable and the coaxial cables , sir?

Mahesh Viswanathan: We are in submersible cables. We are in what we call 3 core flats. Those are basically some moment for submersible applications, so water and so on. And you talked about coaxial, yes, we have lines both in Goa as well as in our OFC factory. We are long -term suppliers to Tata Play to Sun TV to Airtel to most of the DTH operators.

Saket Kapoor : So we can conclude that for at least for the segmented reporting for OFC part also, we are going to see improved margins going ahead with the utilization levels improving, and also the Finolex Cables Limited

June 02, 2025

Page 11 of 12

prices also for OF improving from -- by \$1, as you mentioned. So in all, there are both the price as well as the demand pool that we are going to witness going ahead?

Mahesh Viswanathan: Yes, we should see those.

Saket Kapoor : Okay. And sir, for the EHV cable, what is our just concluding, sir -- for the EHV cable, what is our market share and we're the dominant player, you did mention the name?

Mahesh Viswanathan: Okay. So like I said, again, the EHV part of the business, we do through a JV. We do not do it directly in this entity. There, the dominant player in India so far has been Universal Cables. Currently, Universal is there. We are there.

KEIs there. Polycab is there. Havells is there. But so far, only Universal and us, we have the vertical process that the others use horizontal process. All of them are acquiring equipment to put in vertical processes. It takes time. It takes about 2 years before it can get implemented. But things are moving.

Saket Kapoor : And as in the harness cable segment, are we also a player there or will participate?

Mahesh Viswanathan: We supply wires to the harness manufacturers. We supply our wires to...

Saket Kapoor : What portion of our

sales are -- do we derive from this segment? What kind of the market share we have? Or what is the size TAM, the target market?

Mahesh Viswanathan: The size -- currently, our size in this market is about INR400 crores, INR 500 crores. Most of the harness manufacturers are our customers. The overall market size will be much larger, but the dominant player here is Motherson.

Moderator: Next question is from the line of [Swayam Ranawat 39:05] from Pinpoint Ex Capital.

Swayam Ranawat: Yes, sir. So my question is related to optical fiber. Like you mentioned that demand is picking up from domestically also and internationally and prices are more over bottomed out. So like, sir, what could be the capacity utilization for our company in preform and fiber capacity going forward? Like if you can give any ballpark percentage going forward?

Mahesh Viswanathan: So it will depend on how many projects get announced. So the comment that I made earlier was with reference to what is happening on the BharatNet project. And therefore, I do see that going forward, the requirement of cables would firm up, which means that downstream requirements also would follow similarly.

You want the utilization to be as high as it can be. We had -- while when the project was being announced, we said if we operate at 70%, then the payback is in about 4.5 years or so. So right now, the pre form factory is

while it is mechanically completed, production is yet to start.

The trials are going to start this month. So it will be another 3 months before the product is available. And the initial usage will be lower because as people get used to the production
Finolex Cables Limited
June 02, 2025

Page 12 of 12

formalities, the processes. And only then they'll be able to ramp it up. So first year who is not going to be very high. But from the second year onwards, I expect at least a ramp-up to initially 60%, 70%.

Swayam Ranawat : Got it, sir. And sir, given that our capacity utilization will increase in future. So can we see some margin improvement over there? And if yes, then...

Mahesh Viswanathan: That is the reason why we went into this business because it is in a way a backward integration. It reduces your dependency on someone else. It reduces imports. So today, when you buy the product, you want to buy it for a certain period of time, say, your inventory levels are much higher, whereas you make it on your own, then your inventory levels can be managed with lower numbers as well. So those are all savings that you will get -- so we definitely expect this project to result in attrition to the margins.

Swayam Ranawat : Got it, sir. And sir, if I'm correct, then our capacity would be finalized by this FY itself?

Mahesh Viswanathan: When you say finalized, what do you mean?

Swayam Ranawat : Either commercialize like it will be used for selling products?

Mahesh Viswanathan: So our intent when we set up this factory was the output of this factory would be used to make fiber on our own. Currently, we are importing the entire set of reforms from overseas. So once this factory goes live, then that import would stop and our initial requirement -- I mean our requirement would be met by internal production. That is how you get the margin accretion.

And if there is excess capacity available, of course, we could sell the preforms out in the market as well.

Swayam Ranawat : And sir, you mentioned that 60%, 70% fiber utilization would be by next year?

Mahesh Viswanathan: No brief on my side.

Swayam Ranawat : Okay. Okay, sir. And sir, are we looking for export side also?

Mahesh Viswanathan: So far, we have been looking, but we have contracts with our suppliers who are also in that business overseas. So there are certain territories where we have mutually agreed that we will not compete in. And therefore, we have not been active there. But if I'm making the product myself, then those agree

ments are no longer relevant, and we could.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Viswanathan for closing comments.

Mahesh Viswanathan: So thanks, everyone, for participating in the conference. I hope I've been able to respond to your queries adequately. Thank you.

Moderator: Thank you very much. On behalf of Finolex Cables Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

Registered Office:

26-27, Mumbai-Pune Road, Pimpri, Pune – 411018. Tel: 020 27506200.

Visit us at: www.finolex.com | Email: sales@finolex.com | CIN: L31300MH1967PL016531

FCL:SEC:SE:25:62 19th August, 2025

Corporate Relations Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Building, P J Towers

Dalal Street, Fort

Mumbai – 400 001 The Manager

Listing Department

National Stock Exchange of India Ltd

'Exchange Plaza', C-1, Block G,

Bandra – Kurla Complex, Bandra (E),

Mumbai – 400 051

Scrip Code: 500144 Scrip Code: FINCABLES

Sub: Transcript of the Analysts/Investors Meet held on 14th August 2025 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14th August, 2025 at 4.00 pm (IST) to discuss financial results of the Company for the quarter ended on 30th June, 2025.

The transcript of recording can also be accessed on the Company's website at <https://www.finolex.com/View/Page/Analyst-meeting-transcript>.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer

Encl.: As above

Page 1 of 13 "Finolex Cables Limited
Q1 FY '26 Earnings Conference Call"
August 14, 2025

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER

–FINOLEX CABLES LIMITED

MODERATOR : MR. PRATIK PATIL – DENTSU CREATIVE PR,
INVESTOR RELATIONS

Finolex Cables Limited
August 14, 2025

Page 2 of 13

Moderator: Ladies and gentlemen, good evening, and welcome to the Q1 FY '26 Earnings Conference Call of Finolex Cables Limited. As a reminder, all participant lines will be in the listen-only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing star

and then zero on your touchtone telephones.

I now hand the conference over to Mr. Pratik Patil from Dentsu Creative PR, Investor Relations Team. Thank you, and over to you, Mr. Patil.

Pratik Patil: Thank you, Farah. Good evening and thank you for joining us on the Finolex Cables Limited Q1 FY '26 Earnings Conference Call. Today we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited.

We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session. I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarterly performance and to strategic questions only.

I would now request Mr. Viswanathan for the opening remarks. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, Pratik.

Mahesh Viswanathan: Good evening, everyone. Thank you for participating in this earnings call. A quick set of opening remarks from me, and then I'm free to take questions. We ended the quarter at just under INR 1,400 crore of sales, about 13% higher than the corresponding period of last year. PAT also was in line with that number, which is also up by about 13%. On the gross margin side, we were stable at about 20% comparable to the corresponding period of the previous year.

Within the segments, electrical segments, overall volumes were up by about 16%, more contribution came from power cables than wires. The second part was in the electrical wires, agricultural applications were impacted because of the unseasonal rains, which started sometime around mid-May.

On communication cables segment, volumes and values were slightly depressed. Contracts which we were hoping to close with some of our customers took longer to close some of those contracts have been closed in July and some are still under discussions so there has been a drop in the revenue from that sector.

Finolex Cables Limited

August 14, 2025

Page 3 of 13

Others, again, because of erratic weather as well as price erosion especially in the lighting sector, the values have been slightly depressed. The other key feature of the quarter was our ad spends were higher. Both ad and promotion spend were higher than the corresponding period of last year. So that's broadly what I wanted to start off and introduce the quarter.

I'm now free to take questions. I'm sure you've seen the numbers. You must have done your analysis already.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: My question is that you have said that the volume growth was close to 16%. Despite having a volume growth of 16% in the wires category and cables almost double, we have seen hardly 1.5% jump in the EBIT in the segment. What's the main reason behind this?

Mahesh Viswanathan: The product mix and this is a trend that we've been seeing over the last few quarters. There is more of sales towards project and those are at discounted prices.

Vidit Trivedi: Got it, sir. Sir, what's the absolute number for cables and wires during the quarter as well as for the financial year FY '25?

Mahesh Viswanathan: FY '25, last year.

Vidit Trivedi: Yes. And for this

quarter as well?

Mahesh Viswanathan: Okay. I'll have to give that to you separately. I don't have that information right in front of me, but I can get back to you separately on this.

Moderator: The next question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Sir two questions. See, not being on quarter specific, but if we look at over last 4 - 5 years or even 6 years, we have seen some underperformance by Finolex Cables versus the industry.

Now my question is whether this should be attributed to rising competition where we have been underperforming, especially in the wire segment.

So, I'm doing a wire-to-wire comparison or probably when we look at, I think all the management related issues also started around 6 - 6.5 years back. And prior to that, we were growing in line or better than the industry. So, can you throw some light qualitatively like where are we missing on the growth front on such a longer time horizon that I have been referring to?

Mahesh Viswanathan: In terms of the growth, I think we have been quite subdued on the power cable side, whereas

all our peers have grown substantially on that side. But within wires, yes, competition has been a little more aggressive on the pricing, while we have not been that aggressive.
Finolex Cables Limited
August 14, 2025

Page 4 of 13

We have been focusing more on the overall margins rather than just on the absolute numbers so there could be some impact of that but most of the growth that the peers have had is on the cable side, where our participation has been kind of limited until now.

Your second part of your question was whether the dispute within the promoter family has impacted the results of the business. I wouldn't say too much. Yes, there would be some impact, but not overall.

The business is being managed by people who have been in this industry for a long time. The product has a certain quality attached to it and that premiumization continues. I don't believe that the market has moved away from us so much.

Manoj Gori: Got it, sir. Sir, but when I look at probably somewhere around FY '15 or probably FY '16 to FY '19 period, where our gross margins were significantly higher, even when we look at the EBITDA margin at company level on the stand-alone basis, we were doing reasonably well. But if we look at our gross margin from close to around 27% - 28% mark today, in FY '25, we ended close to around 19%, if I'm not wrong. Our EBITDA margins were high single digit, probably came down to below 10%. I'm not sure when was the last time we reported below 10% on an annual basis.

So, when you say we are trying to protect our margins or profitability, so see, I think here probably numbers also even on the margin side, we are seeing some sluggishness. And plus, we are seeing top line or volumes which have been underperforming.

Because when I look at some of the peers, including the market leaders or some players who have gradually increased their exposure into wires and have been growing at an exponential pace. There we have seen margin improvement as well as top line growth. So that's what I was referring to.

Mahesh Viswanathan: I don't have an immediate response except to say that my belief is that the growth explosion that some of my peers have had was more on the power cable side rather than on the wires.

And so, because not many people report those numbers separately. It's only recently that some of them have started indicating certain numbers in the public domain. If you have other information, which is not in the public domain, then I wouldn't be able to compare and comment on it.

But whatever is there in the public domain that is available only in the last couple of quarters, not before that and from there, you can get a sense of where their revenue stream is coming from, so yes, there have been margin pressures over the last 2 quarters, that is for sure but that is also a result of

our change in the product mix, like I mentioned earlier.

Manoj Gori: Correct, sir. Sir, just one last question. So, if I look at probably for rest of the year or probably medium-term projections or a road map that the company would have set internally, how do

Finolex Cables Limited
August 14, 2025

Page 5 of 13

we see probably from here on? Because if you look at wire demand anyways has been a bit slow as compared to cables.

So on the flip side, if you look at, I think there are a lot of projects which would be near completion in the current and in the next year, those which were especially announced after COVID where we saw some significant pickup into real estate bookings.

Do you see these projects reaching near completion, which should actually translate into double-digit kind of volume growth for wires as a category and which will obviously lead to some operating leverage also. So, what are the internal projections? If you can share, that would be very helpful for our modelling purpose?

Mahesh Viswanathan: I think that the last 2-3 quarters ago, people have been witnessing a fairly high collection on the sale of real estate, but my sense is that most of the accumulated inventory has gotten exhausted.

And the projects which were announced, and which are getting completed now will get into their end phase in the coming quarters, some of it probably has started now, but bulk of it should come maybe by third quarter this year and I think that should be the time that we should also see growth picking up.

Manoj Gori: That should continue for at least 5- 6 quarters.

Mahesh Viswanathan: It should continue at least for a few quarters, 4 to 6 quarters for sure.

Moderator: The next question is from the line of Achal Lohade from Nuvama.

Achal Lohade: Sir, can you help us understand the mix in terms of cables, wires? You did mention that as of now in your earlier answer. So, if you could give us some sense in terms of how do you see these cables? What kind of capacity, how much have we invested? What asset turn? How much incremental investment is going into cables? That's my first question, sir.

Mahesh Viswanathan: On the cable side, we have not substantially increased our investment from what it was, let's say, a year ago. But our utilizations have improved and that means that we have stuck our neck out in a few projects and have taken orders. We were a little reluctant in the past to take an exposure on the utility side.

We have been a little careful, and we have taken some exposures on the utility side over the last 2 quarters, and those have resulted in these numbers. Our capacity still is available. We can, can still improve the numbers by another 30% - 40% with the present investment. The question more was what kind of a risk you would like to take when you are being exposed to the DISCOMs or the some of the transmission utilities. That was always the question in our mind. I don't know if it answers your question fully, but this is what I have. What was your second part of the question?

Finolex Cables Limited

August 14, 2025

Page 6 of 13

Achal Lohade: Yes. What kind of investment are we looking at? What is the capex and how the split is in terms of cables and wires? I'm just talking about electrical cables at this stage.

Mahesh Viswanathan: On the investment side, we had made an announcement on our capex program a couple of quarters ago, and that is continuing. From there, what was relevant to electrical cables was the e-beam facility, which is completed and the e-beam cured products are now available since March this year. The utilization is ramping up, and we hope to reach a satisfactory level in the coming months.

Beyond that, our investment in greenfield addition to the capacity, we have not done anything so far. There is, of course, continuous additions to the segment, either in terms of replacement or in terms of improving productivity. For

the current year, that number should be somewhere around INR 60 crore - INR 80 crore.

Achal Lohade: Right. And this is the existing gross block, what you have, what is the potential turnover you could reach for the electrical cables and wire segment, sir?

Mahesh Viswanathan: The potential turnover only on the segment.

Achal Lohade: Yes, only for the electrical cable segment. This is the capacities what you have and assuming same copper price what is the maximum turnover you could achieve?

Mahesh Viswanathan: At current prices could go up to INR 6,500 crore.

Achal Lohade: Right. Okay. And this assumes what asset turn, sir?

Mahesh Viswanathan: Gross block will be around INR 700 crore – INR 750 crore, so about 8x.

Achal Lohade: Right. And if I were to just squeeze on this, out of the INR 750 crore, how much would be cable? Would that be, say, less than INR 100 crore?

Mahesh Viswanathan: You mean the investments?

Achal Lohade: Yes, in gross block for cables?

Mahesh Viswanathan: Yes, INR 120 crore or so.

Achal Lohade: Understood. Got it. Sir, just on this exposure to DISCOM, transmission utilities, any particular reason like have you seen substantial money getting locked in the past for the peers for the industry or it's just their health is so weak that you are concerned about that rather than really seeing any evidence of that?

Mahesh Viswanathan: A few things. One is their health has been always bad, right?

Achal Lohade: Right.

Finolex Cables Limited

August 14, 2025

Page 7 of 13

Mahesh Viswanathan: Secondly, the business there is tender driven, so you have to be L1. If you're not L1, you don't get it. Even if you do get it, you have to match the L1 prices. And the last part is there are several great practices which we are not happy to get into.

Achal Lohade: Got it. May I ask one more question, sir, or I can fall back in the queue. On the communication cable, if you could help us explain, we are seeing fairly stagnant number for a few years now and the margins being in the range of 1% to 2%. So how do we explain this presence? What is the end game here? And what is the synergy out here if I were to ask?

Mahesh Viswanathan: It is a cable product, but then okay, we are integrating backwards so those facilities should be ready. In fact, the preform facility is ready, we are waiting for the trials to be completed, and

there has been a small hitch with the power supply which should be sorted out in the next 1 month or so, after which the trials will commence.

What that we will do we will be able to reduce our dependence completely on imports, and we will be making our own preform, which means there will be value addition within the company so that should see margins improve. Secondly, that will also allow us to sell the excess capacity of preforms into the market if the cable demand is lower. The issue with this segment has been it's largely dependent on government programs. And while huge amounts are announced as part of the government programs, the execution part has always been very slow.

Announcements have preceded the execution by substantial amounts of time. If you were to look at the National Optical Fibre Network, it was announced sometime in 2010, and we are in '25, and we are now starting on Phase 3. Originally, all this was supposed to have been completed by, I think, 2013 or '14.

Money deployment into these programs have been slow so at times when there has been a lack of money deployment, yes, it has impacted the business. Unfortunately, the cycles on fiber also have coincided with the periods when large investment deployment from the government sector has been less.

For example, right now, fiber prices have been depressed and the reason for that is large-scale availability of fiber from China, which is getting dumped globally. Government of India did take action in terms of bringing antidumping duties but still, whatever had already come in was en

ough to spoil the market.

Those long delays mostly have had an impact on the business. Even as we speak, Phase 3 of BharatNet program, orders have recently been issued to the people that won the tenders. We are now expecting orders to flow to us for the cable supply. I expect some pick-up again to happen maybe from end of this year.

Finolex Cables Limited
August 14, 2025

Page 8 of 13

On the private side, there are mainly two people who buy, Bharti and Reliance. Our contract with Bharti has been there for a long time, and it continues now also. Reliance has been focusing more on reaching or reaching their FTTH offerings, fiber-to-home offerings.

The fiber count that is in the cable is fairly low. It's maybe one or two fibers so while kilometres you will get, you will not get the revenue. In fact, I made the statement a couple of times again, a couple of quarters also so that's been the issue with this optic fiber business.

Achal Lohade: Got it. And the investment you've made in this in terms of gross block and potential revenue, if at all?

Mahesh Viswanathan: Currently, we announced a program of INR 500 crore, out of which about INR 325 crore to INR 350 crore would go on the fiber business.

Achal Lohade: And to be spent over what period, sir?

Mahesh Viswanathan: It should be over by this fiscal.

Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: Sir, I have only one question on the copper price volatility side. Copper price volatility and product mix shift affected margins this quarter. So are you considering hedging strategy or planning to protect margins going forward...

Mahesh Viswanathan: No, we have spent considerable time on this, the way we handle copper is, we do not buy copper on spot. We only buy on the month average so whatever is the month average is what I'm paying for.

And yes, that will be followed by a pricing action. But typically, any time there is a pricing action, there is a slight delay before the pricing action is introduced into the market and the time that the copper price have actually moved.

For example, if copper price today is, let's say, \$9,700 on LME and it moves to \$1000 tomorrow morning, I do not change the price tomorrow morning because the market will not accept it. They will be prepared for an increase, but they will not accept it tomorrow morning. I'll have to ensure that, that increase is not just a 1-day spike. It is going to be the new norm, let's say, at which point in time I will be able to change the price upwards so here is pressure while you increase the prices, there is pressure from the market to delay it a little bit. On the other way around, there is pressure from the market to quicken it a little bit.

This is not something that happens only to me, it happens to everybody else. You will see that in most cases, we announced the changes first and then peers follow in a few days' time and that's the nature of this market.

Finolex Cables Limited
August 14, 2025

The issue is if you are stuck with a fairly large inventory and the price falls, then you have a problem. Therefore, your ability to manage with a reasonable stock base is what really matters.

Rehan Saiyyed: Understood. Sir, if I put more clarification regarding this side. So, sir if we suppose -- if we normalize copper price at current level, what would be the target EBITDA margin range if you just clarify for the next 2 quarters or 3 quarters?

Mahesh Viswanathan: I would like to see my segment margins around 12%, but that has not been the case over the last 2 quarters. Prior to that, it was fairly consistent. Over the last 2 quarters, it has dropped.

Moderator: The next question is from the line of Manoj Gori from Equirus.

Manoj Gori: Sir, my question is on the FMEG portfolio. So somewhere we ventured into this portfolio in FY '17. And probably after COVID, we also laid do

wn the plans that we are adding close to around 1,00,000 - 1,50,000 touch points to our retail network, which will be boosting our FMEG portfolio as well as our wire sales.

But when I look at on the FMEG portfolio, so far, if you look at from FY '17 to FY '25, probably we have reached close to around INR 40 odd crore close to around INR 250 crore last year. So, I know at EBIT level, we are not burning cash into these businesses. But any aspirational target and what are we planning to do differently? Because even here, if we look at, probably somewhere we have been missing our internal targets as well.

Mahesh Viswanathan: You're right. The growth there has been much lower than what we expected to have. There have been serious conversations within the organization also in terms of where we are heading and how we're getting there. One solution was to increase the retail footprint which is ongoing. The second solution is to increase your product offering so newer models are coming into play. Since, we are still dependent on third-party sources for our products, one is to be able to design the product and hand it over to them. Second is to ensure that the development of the product happens the way you want it and the features that you want so there has been some issue, which we are trying to overcome.

I think in the coming season, you will find more product releases. If I'm selling the same thing again and again, the interest from the market will also go down over a period of time so I will need to vary those offerings, which is currently happening.

The third point in this is that on the lighting sector, the price erosion has been enormous over a period, and that's something that's been felt by every company in this field. So that is something that is dragging the top line. Volumes have been okay. They've been growing as well and at a good percentage.

But the erosion has eaten up the volume growth. So that's a problem. But then that's something common to everybody. I can't complain as being alone in that. These three, four elements have Finolex Cables Limited

August 14, 2025

been dragging us. But I think we do need to show more aggression on this area. That point I take.

Manoj Gori: Right, sir. Sir, secondly, if you look at over last 4 - 5 years, especially, most of the leading brands have been focusing on increasing their in-house manufacturing percentage of the overall thing. Now we have been looking to invest into communication cables. But so far, we haven't seen any promising or encouraging numbers, especially in the previous 4 years. We haven't explored anything or probably discussed internally on the FMEG side. If you want to invest heavily on manufacturing, then you can have a better control over production on product launches and also on the quality.

So just want to understand probably because see, somewhere if you look at, there is one business where we have been very hopeful, even government orders probably have not been coming on time on the communication cable side.

There has been some slowdown or liquidity issues with some of the service providers as well for the communication cables. But on the other side, we have a business which will be largely controlled by you if you go aggressive on this business?

Mahesh Viswanathan: Our initial thought was that we will need to have certain scale before we start --putting our investments on the ground. And so that is where we've been struggling. The other alternative was to see whether we could acquire some players.

Where, again, the valuations today did not match to the profile of the company. Yes, there are some questions which we have to ask ourselves and answer and I take your point, this is something that we should be looking at seriously.

Moderator: The next question is from the line of Anirudh Agarwal from Valuequest.

Anirudh Agarwal: First question was on the margins front. So, for elect

rical cable segment, I mean, if you could

help us understand what sort of margins you are making on the agri wires and what is the contribution of that to the overall sales?

And even ex of agri business getting impacted in this quarter, core margins seem to be under pressure. So, what is the bridge for us to get back from the current level of margins to the targeted 12% that you spoke about?

Mahesh Viswanathan: Well, agriculture application, those products went down by almost half this quarter, right? The product there would give us about 10% - 11% so that is something that we missed out on, and the project business picked up quite a bit of the slack, project business is at a deep discount.

You do not make the same number as what you would on a boxed product. The discounts are fairly deep. You get volumes, you get cost efficiency in the plant but then at the end of the day,

Finolex Cables Limited

August 14, 2025

Page 11 of 13

the margins are definitely lower, and they are lower by about 4% 5% percentage points. That's basically it's the mix and the larger focus on project side.

Anirudh Agarwal: Okay. And as the project segment basically seems to be the place which is driving the growth and incrementally also as we were discussing earlier in the call, with projects expected to pick up, margins would take time to get back to 12%. Is that the way we should think about it?

Mahesh Viswanathan: I think another couple of quarters before we reach that.

Anirudh Agarwal: Okay. And was there any element of inventory losses, etcetera, in this quarter, which would have depressed the margin?

Mahesh Viswanathan: No.

Anirudh Agarwal: Understood. And you spoke about ad spends being higher in this quarter. If you could just quantify that, how much were the ad spends?

Mahesh Viswanathan: The total promotional cost this quarter was about INR20 crore so that is sitting under the line other expenses and corresponding number is about INR11, crore, I think.

Anirudh Agarwal: Understood. Okay.

Mahesh Viswanathan: These were commitments which were made on spots which had been bought earlier so we had to go ahead with it.

Anirudh Agarwal: Got it. Final question was on the BharatNet project. So basically, have we received any orders from the people who have won the tenders yet or are those discussions still ongoing?

Mahesh Viswanathan: Discussions are ongoing.

Anirudh Agarwal: Okay. And any broad timeline that you expect execution to kick off for us?

Mahesh Viswanathan: Those people have received their orders in the last 1 month or so. It is not just cables that they have to line up. There's a whole bunch of other electronics and stuff that they need to get together. They have a prep time of 2 to 3 months before they will release all those final orders.

There is still some time for us to get those.

Moderator: The next question is from the line of Varun Singh from AlfAccurate Advisors.

Varun Singh: Sir, just wanted to check anything that you would like to call out on demand for cable for data centers.

Mahesh Viswanathan: Well, yes, there will be a requirement for power cables there besides the data cables. Quite a few of the data center announcements have been seen but similar to construction activity, the center has to be structurally ready before the cable part of it gets in there, so I think there is scope for increasing our power cable sales.

Finolex Cables Limited

August 14, 2025

Page 12 of 13

Varun Singh: how would you think about how big should typically be the opportunity for supplying cable for this particular sector? I mean if you can offer some mental math or how should we look at it?

Mahesh Viswanathan: Typically, the data center numbers that they talk about, they talk about in terms of how many megawatts of power they would be consuming that's how they describe their investments. It will be a combination of both high voltage and extra voltage cables there on th

e power side.

And of course, you will have LAN cables and other data cables being required. Not able to translate that into size.

Varun Singh: I mean, typically, for 1 megawatt of what power needs, how much value of cable is required?

Mahesh Viswanathan: Yes, that's what I am saying. I am not able to say that because it depends on what kind of design they want to use, and each design cost is very different.

Moderator: We have a question from the line of Achal Lohade from Nuvama.

Achal Lohade: Thank you for the follow up opportunity. Sorry, just a clarification, sir. With respect to the electrical cables, you said the projects are doing well compared to the retail wires and projects are at a lower margin. Have I understood right? This is pertaining to wires you are talking

about, right, sir?

Mahesh Viswanathan: Correct.

Achal Lohade: And what would be the mix broadly if we were to see, what is the mix of projects for us? And how much would that be for the industry as a whole?

Mahesh Viswanathan: I wouldn't know that. I wouldn't know what it is for the industry because that level of granularity is not available to us. All I know is, in our case, that mix has changed in the last 2 quarters. And that is impacting the numbers a little bit.

Achal Lohade: Right. Any number you want to point out, sir?

Mahesh Viswanathan: Well, there used to be a time when retail sales for retail in a sense, the box sales used to be close to 75% - 80%. Now that has dropped to about 60%, I think.

Achal Lohade: 60%?

Mahesh Viswanathan: Yes.

Achal Lohade: Understood. And are you seeing this is the trend for the industry as well where the project wires are basically seeing more sales?

Mahesh Viswanathan: It could be, yes.

Achal Lohade: Right. And that is driving. So, for us, wires are almost 90% of our electrical cable segment revenue. Have I understood right, sir?

Finolex Cables Limited

August 14, 2025

Page 13 of 13

Mahesh Viswanathan: 75% to 80%.

Achal Lohade: 75% to 80%.

Mahesh Viswanathan: Because there is also automobile, there is also industrial and so on.

Achal Lohade: Understood. Got it. Sir, total capex, if you could mention what would that number be? You've said about INR 80 crore, INR 90 crore for the replacement or maintenance capex for the electrical cable.

Mahesh Viswanathan: It is replacement plus enhancements and productivity related expenditure.

Achal Lohade: Right. And the total capex for the full year at the company level?

Mahesh Viswanathan: Including -- it should be around INR 300 crore, I think.

Achal Lohade: And of that, close to INR 80 crore - INR 90 crore is basically this one and balance is for the optics, communication cable?

Mahesh Viswanathan: Yes.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Viswanathan for closing remarks.

Mahesh Viswanathan: Again, thank you, everybody, for participating in this meeting. There was one gentleman whose question I could not respond to. Maybe he can connect with me later. Thank you.

Moderator: Thank you. On behalf of Finolex Cables Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank you.

This document is a transcript and may contain transcription errors. While every effort has been made to ensure a high degree of accuracy, the Company or sender assumes no responsibility for any such errors.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

Registered Office:

26-27, Mumbai-Pune Road, Pimpri, Pune – 411018. Tel: 020 27506200.

Visit us at: www.finolex.com | Email: sales@finolex.com | CIN: L31300MH1967PL016531

FCL:SEC:SE: 26:10 16th February 2026

Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Ltd
'Exchange Plaza', C-1, Block G,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: 500144 Scrip Code: FINCABLES

Sub: Transcript of the Analysts/Investors Meet held on 12th February 2026 at 5.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 12th February, 2026 at 5.00 pm (IST) to discuss financial results of the Company for the quarter ended on 31st December, 2025.

The transcript of recording can also be accessed on the Company's website at <https://www.finolex.com/View/Page/Analyst-meeting-transcript>.

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Siddhesh Mandke
Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 9

Finolex Cables Limited
Q3 & 9M FY '26 Earnings Conference Call
February 12, 2026

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– FINOLEX CABLES LIMITED

MODERATOR : MR. PRATIK PATIL - DENTSU ONE INVESTOR
RELATIONS

Finolex Cables Limited
February 12, 2026

Page 2 of 9

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '26 Earnings Conference Call of Finolex Cables Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Pratik Patil from Dentsu One - Investor Relations team. Thank you, and over to you, sir.

Pratik Patil: Thank you, Steve. Good evening, and thank you all for joining us on the Finolex Cables Q3 and nine month FY '26 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited. We will begin the call with opening remarks from the management, after which we will have the forum open for the interactive Q&A session.

I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only.

I would now request Mr. Vishwanathan for the opening remarks. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, Pratik and good evening, ladies and gentlemen. Thank you for joining this call. Very quickly, let me take you through the quarter with some brief remarks, and some points on the performance and then I will open up for questions.

You must have seen the results that were uploaded on both the exchange as well as on our own website day before yesterday. We've had a pretty good quarter in terms of overall performance. Revenue was close to INR 1,600 crores for the quarter and for the nine-month period was about INR 4,370 crores.

In the quarter, an incremental performance of about 35% quarter-on-quarter and for the nine-month period, about 17% higher than the corresponding period last year. As a consequence, EBITDA numbers also showed an improvement, 12% quarter-on-quarter and 17% over the nine-months period. PAT also reflected a 10% increase quarter-on-quarter and 18% over the nine months period.

In terms of performance, this was not just a price-led performance, it was also a quantity-led performance. Overall, Wires and Cables, the volume increase was more than 25% - 26%. Individual product lines performed slightly differently. Electric Wires was about 28% in the quarter, Auto cables were almost 42% in the quarter, Industrial was about 28%, and Power Cables were also about 22%.

Big new entrant for us during the quarter was Solar Cables, we are currently hitting close to 80%-85% of our capacity that we built up last year so that's good news again. What didn't do so well was the Agricultural Applications. A, it was off season, and there were pricing issues, so the overall numbers on the Agricultural side was a little lower than the previous years.

Finolex Cables Limited
February 12, 2026

Page 3 of 9

The other part of the quarter was the continued increase in copper prices and commodity prices. We had to take multiple price corrections. Overall, during the quarter, we took a correction of about 12% in the selling prices and most of the input price increases have been covered. Utilization, like I mentioned earlier, solar, auto and power cable plant utilizations are in the late 70s, Others are catching up.

Moving to the Communication Cable side, then OFC volumes were up by almost a third. The issue in this segment is that during the quarter and prior quarters, fiber prices had been depressed. We are now seeing a reversal of that trend globally. Fiber prices are hardening. The overall demand outside of India.

In fact, including India has strengthened considerably.

We are now witnessing a period of shortage both on the preform side as well as on the fiber side. That is, as we speak today, and prices are hardening so from an average of about slightly under \$3, which was prevailing during quarter 3, the prices currently as on date, are closer to \$5 a month so that's the extent of the demand pull that has happened over the last few months. The net effect of this will be seen in

the coming quarters.

As a corollary, the investment that we are making on both the preform factory as well as in the expansion on draw towers. Those investments -- the work is progressing fairly good. Currently, the preform factory is under production trials, and we expect to commission it within this fiscal. The Fiber draw expansion, the building is more or less ready. Equipment for Phase 1 that is to take up the fiber capacity from 4 million to 6 million, that equipment is already at site and as soon as the cleanroom work is completed, we will start the installation there and the second part from 6 million to 8 million, that equipment is expected to reach by March end. We expect to have a fiber draw capacity of about 8 million kilometers by end of Q1 in the coming fiscal. Capex. In the quarter, we spent about INR 36 crores and for nine months, it is INR 146 crores in line with the projections that we had made in the beginning of the year so most of those projects should be coming to a solution by now. We had a very good quarter, like I said earlier, and that also reflected in the cash flows.

The cash flow from operations was about INR 78 crores for the three months, against INR 9 crores in the corresponding period last year and INR 220 crores for the nine months against INR 75 crores in the corresponding period of last year.

This is broadly the comments on the performance. Additionally, one single point I would like to make is that after the announcement of the new labor code going live effective 21st of November, we have reassessed the obligations towards gratuity and have taken a provision of INR 6 crores, which has been booked in this current quarter.

So that's it from me for opening remarks. So now I'm open to questions. Thank you.

Moderator: Thank you. The first question comes from the line of Vidit Trivedi with Asian Market Securities.

Finolex Cables Limited

February 12, 2026

Page 4 of 9

Vidit Trivedi: Thank you for the opportunity. Sir, any update on the BharatNet project as of now? And I just wanted to know your views on the way commodity is behaving and the overall outlook? And how many price hikes have we taken as of today?

Mahesh Viswanathan: Okay. So let me talk about the commodity first. Well, it's very difficult to predict where it will reach and how long it will stay there. Even in the last couple of weeks, you have seen movements which have taken it up to 14,000, then it's back to 12,800 and then again back to 13,200. It is a bit of a yoyo at this point in time. Difficult to predict how the swings are likely to be.

What we have always been doing and we will continue to do is to not take long calls, look at what we need to produce and therefore, procure only that much quantity and buy on average, which is what we've been doing all along and treat it as a pass-through to the extent possible. While there will be a lag in passing on any changes, that will even out over a longer period of time.

The next part of your question was how many price changes have we taken? Last quarter, we took 5, with an overall correction of about 12% in the selling prices. This quarter, between January and today, we have already done two changes. So as and when it is necessary, depending on how the fluctuation is or how big the fluctuation is, we will take that call. We also need to keep in mind as to what level the market can bear because at some point, things might become inelastic, so we keep that in mind.

Your second point was on BharatNet. As I ment

ioned in the earlier call, we have not secured a direct position on the BharatNet Phase 3 tenders that were floated by BSNL. But given the fiber position in the global market at this point in time, we are getting inquiries from participants who have secured positions, so it's a little too early yet, but we are hopeful that there will be adequate business for us over the next two years from these projects.

Vidit Trivedi: Okay. Sir, second question is on the inventory days. They have improved significantly from 69 to 61 days. So what are the structural changes in the supply chain we have taken in this area? And can we expect further improvement, bring it down to at least 50 - 55 days in the coming quarters?

Mahesh Viswanathan: That would be a little difficult, I think, what we are trying to do is to look at each segment of the inventory change. So how much should be in raw material, how much in work in process and how much in finished goods, we have been squeezing all 3. I mean, and this can only happen when two things change. A-your raw material supply, that chain is kept open, and there is a continuous speed from there and B-, our operating efficiencies at the plant goes up, and that will happen as capacity utilizations improve.

And the last one is at the field level in terms of improving service, which will mean the waiting period for the customers will be lower, and we should be able to service practically on demand. We are trying to squeeze all three areas. I think, two months cycle across the chain is reasonable given the fact that when you get into industrials and automobile cables, the number of SKUs are substantially large.

It is not just like -- it's not like building here, where the number of SKUs are limited. But as we get into flexibles and auto cables, the number of SKUs are substantially high, and you need to have sufficient production runs or minimum order quantity for each of those runs for you to run an efficient operation.

So there will be a slight trade-off between efficiency and in the overall efficiency numbers. and we try to limit it to about two months.

Vidit Trivedi: Got it. I'll just squeeze one more question. There's a significant amount sitting in your capital work in progress, almost INR 307-odd crores. So what's the specific project it is tied to? And when can we expect it to be commissioned?

Mahesh Viswanathan: A lot of it is tied up on the preform project so as I mentioned in my opening remarks, at the preform factory right now, production trials are ongoing, and we expect to commission the plant by next month, so when that is done, out of the INR 300 crores, about INR 230 crores or INR 220 crores, somewhere around that will get capitalized, so then you will only be left with what is there for the fiber draw towers, which will get capitalized in the coming quarters.

Vidit Trivedi: Got it, sir. Thanks a lot, all the best.

Moderator: The next question comes from the line of Shreya Wazir from BMSPI Capital. Please go ahead

Shreya Wazir: Thank you for the opportunity. There has been a lot of talks on a few big players with deep pockets entering the space. So how do you see their capacities ramping up? And what product segments of Finolex will get affected and how? If you could just throw some light on -- if you see a meaningful impact on our business operations due to the entrance of these players?

Mahesh Viswanathan: Okay. So over the last one year, there have been announcements from the Birla side, they are coming in from the cement group. They are putting up a cable wire and cable factory. Our information is that it is likely to get into production more sometime next calendar year. The information that I have is, it's probably around second or third quarter next year and that will be on the wire side, that will be in direct competition to us.

The second piece of information was ab

out, Adani is getting into wire and cables. Barring the initial announcement, nothing more has been heard from them, so we do not know yet if their plans include introduction in '27 or '28 or '29. That is still something that we are not clear about. But yes, there will be competition to a large extent on the wire space, but we do believe that there is sufficient space for players to coexist.

Competition will intensify. And I think in a way that's okay, we should be able to handle those pressures. That much that I am aware of besides this.

Shreya Wazir: Okay. And my second question is, what is Finolex's strategy to grow its Telecom Cable business? As in what is the total market opportunity for players like Finolex from the data center building in India and globally, respectively? And how is Finolex building its product portfolio to participate in this opportunity?

Finolex Cables Limited
February 12, 2026

Mahesh Viswanathan: Yes, you're right. Data centers will have an impact not just the telecom operations, it will also have an impact on our power cable operations because data centers will be massive consumers of power and they will need fairly heavy sized pipes for power consumption besides fiber as well as land cables, so that could lead to more market size in terms of the optic fiber cables that would be available for sale.

In that context, I think our integration backwards into making preforms, expanding our fiber draw capacity, all this is a part of preparing for that additional volumes that are expected to come. Currently, the glass preforms are all imported by us. There is only one manufacturer in the country, which is Sterlite. We would be the second entity there and so what it means is it reduces import dependence. At the same time, brings a certain self-sustenance part there. Simultaneously, we are also expanding our fiber draw capacity. We're doubling it over the next three months so that would again make products available. Designs that would be necessary for data center applications, we already can make them, that is not so big a challenge. The capacity to make those is also available with us at this point in time so again, that is not a big challenge. Material availability at the moment, is an issue. Like I mentioned in my opening remarks, the market has changed over the last 3 to 4 months and at the moment, neither fiber, nor preform is available for literally any amount of money so the demand scenario has changed at this point in time. I think our additional capacity coming into play at this time is going to be beneficial for us.

Shreya Wazir: Thank you so much and all the best.

Moderator: The next question comes from the line of Srinivasan with Sundaram Mutual Fund. Please go ahead.

Srinivasan: Thank you for the opportunity. Two questions. Firstly, on our expansion that we are doing, I think, you had mentioned that some 4 million kilometers, we are going to 8 million kilometers by Q1 FY '26. So I wanted to know like, what is the revenue that we could generate this asset and if you can tell me like how the margin profile has improved -- will improve because you were mentioning about realization going up from about \$3 to \$5.

Mahesh Viswanathan: Correct. So over the last two to three years, the demand globally was a little depressed in relation to capacities available, so prices which were running at about \$4.5 had slipped to slightly above \$2 over the last 2 - 2.5 years and that has now changed in the last few months. We understand that there is a lot of application in the Defense industry. We also understand that there is a lot of applications in the Data Center industry overseas, which is pushing this demand to these levels. And as the previous participant asked, has more and more data centers get up to a functioning stage in India, this demand in India will also increase. Add to it, the BharatNet and other programs that are likely to

come in the future. I think over the medium and long term, the demand is fairly robust.

The issue in this industry has been where you are dependent on the telecom side and especially in our country, bulk of the funding comes from government programs and if that funding is not

Finolex Cables Limited

February 12, 2026

Page 7 of 9

consistent or sustained over a period of time, then you do have blips plus government programs do have this tendency of time lag between announcement and tendering and then again, execution, so those have been issues in this industry.

But I think with the committed funds for those programs, we should see a period where over the next few years, besides data centers, you will also get in AI applications, and a lot of fiber will be required. The fiber design or construction might be different for different applications, but the overall demand is likely to be fairly robust.

Currently, we have a market share of about 11% - 12% in India. The biggest player is Sterlite followed by the Birla Cables and then HFCL. But we should be able to grow from here on with our additions to capacity.

Srinivasan: Sir, could you just answer the second part of my question. Like what is our current capacity to 4 million, what is the potential in terms of top line and what margin do you think we can expect?

Mahesh Viswanathan: The top line potential is not simply multiplication of the capacity times the fiber prices. The top line will depend on the cable selling prices and again, cable selling prices will depend on the design of the cable. It should go up now with fiber prices going up but depending on the configuration within the cable prices can go up to INR 1,50,000 to INR 1,80,000 per kilometer of different kinds of cables.

It's a little difficult to estimate it, but let me try. I think with the additional capacity that we have put up, total revenues from this can go to about anywhere between INR 600 crores to INR 700 crores in a full year.

Srinivasan: Okay. This is the additional revenue or the overall revenue you see, sir?

Mahesh Viswanathan: This would be the total revenue.

Srinivasan: Okay. And margins, how is the margin improvement here for us given the prices have gone up?

Mahesh Viswanathan: If you look at our numbers, if you go back and look at our numbers. When utilizations were higher than 75% or so, we have generated margins -- EBIT margins of around 9-odd percent.

It's only in the last three years or so, that number has fallen to the levels they are now 2.5% or so, there is a potential that it can go to about 8%- 9%.

Srinivasan: Got it. Sir, and just one last question. We generate a very healthy amount of cash flow every year. So what is our plan in terms of reinvesting after this?

Mahesh Viswanathan: Okay. So like I mentioned in the beginning, capacity utilizations are starting to go up. I also mentioned to you that, automobile and solar applications are touching their 80% numbers, so those are areas where we can look at additional investment, there is a need as well. Even within the construction wire, as we see capacities climbing beyond 70%, we should start planning for something new.

So because planning to execution will take about a year and a half. As we see those numbers inching up and touching 70%, we would start planning those, those are the areas where we will

Finolex Cables Limited

February 12, 2026

Page 8 of 9

invest whether it will happen next year or the year after, that will depend on how quickly the ramp-up happens.

We had already mentioned other potential areas where we could grow. And two quarters ago, we commissioned our E-Beam plant and that opens up multiple applications for us. As we get the clearances and certifications, we should start investing for those applications as well. So these are possible areas.

Srinivasan: Thank you, sir.

Moderator: The next question comes from the line of Veenit within I

nvestec.

Veenit: Thank you for giving the opportunity and very strong set of numbers. Congratulations on that.

Couple of questions from my side. One is the inventory levels in the channel, given such a strong growth we've had within the industry and considering the price increases we've had. Would it be right to assume that, that would have been a somewhat of revamp which would have happened in Q3, and consequently, at least at the start of Q4, the channel inventories would have been much higher than it should?

Mahesh Viswanathan: I believe so, yes, the channel inventory would have been higher than it should, I believe yes.

Veenit: And sir, if you go to as guess, how much could it be different than the usual levels?

Mahesh Viswanathan: I think for all the participants in this industry, some amount of volumes were pushed by the constant commodity price increases. The trade probably that they would make -- if you buy a low and then as the price is increasing, you would get to sell it at a higher price. To some extent, I'm sure that it's there. But for whom, how much is a difficult guess to do -- and I think, I will refrain from that. But I am sure, there was some.

Veenit: Understood. Understood. Sir, my second question is on margins. Now pre-COVID or maybe '16, '17, '18, we used to do mid-teens sort of EBIT margins for the Cables division, those subsequently came down to low-teens and then subsequently now, it's in low double-digits. Sometimes we also recorded high single-digit margins in that segment.

Now I understand you've had a change in distribution model, which has had an impact by 2% to 3% on those margins. But what is led to such a sharp margin drop in the segment? And should we think that these are the bottoms and should they stabilize or we should see an improvement from here on?

Mahesh Viswanathan: Okay. I think a similar question was asked during the last call as well. Yes, there was a time when we used to do about 15%-16%. But then we brought in distribution. So some money had to be surrendered there to ensure that the distributors' costs are managed. So I think the sustainable level is anywhere between 11% and 12%.

Above that, in today's context, with intensified competition is really difficult to sustain. You might have the hard quarter when you do better than that. But I think what should be sustainable would be between 11% and 12%. We are slightly behind that at this point in time. That also has Finolex Cables Limited

February 12, 2026

Page 9 of 9

to do a little bit with the change in mix. More of automobile, cable-related sales are more of industrial products tend to depress the margin a little bit because of the nature of that business. As the volumes grow faster and higher on the construction side, then the balancing would happen. So, last quarter, the margins were about 11.5% or so. This quarter, it is dipped a little bit. So it depends on which quarter what takes higher share of the pie. So the mix is also a little bit of an issue.

Veenit: But sir, just as we were discussing some time back, the competition is likely to intensify in the next 12 months' time, don't you think, again, that will have some bit of pressure, if not much and consequently margin expansion from these levels will be tough?

Mahesh Viswanathan: There would definitely be some pressure. I don't discount that at all and we need to be prepared to handle that, I think one of the things that we are doing right now is to make sure that our channel continues to be motivated, that our distribution network continues to be motivated. We also educate them more about life cycle costs and things like that, so that people understand that when they buy a product like ours, when you use it, you use it for 20, 30, 40 years and so your investment at this point in time is going to pay you back over those 30, 40 years. and everybody may not have the same level of quality that we have, that i

s something that we would need to reinforce in our marketing picture.

Veenit: Okay, understood. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.

I now hand the conference over to the management for closing comments.

Mahesh Viswanathan: Thank you, ladies and gentlemen for participating in this conference today. I hope the interaction has been of use to you. If there are questions, please do reach out to us. Thank you.

Moderator: Thank you. On behalf of Finolex Cables Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This document is a transcript and may contain transcription errors. While every effort has been made to ensure a high degree of accuracy, the Company or sender assumes no responsibility for any such errors.

Call: Jun 2026

Registered Office:

26-27, Mumbai-Pune Road, Pimpri, Pune – 411018. Tel: 020 27506200.

Visit us at: www.finolex.com | Email: sales@finolex.com | CIN: L31300MH1967PL016531

FCL:SEC:SE:26:36 03rd June 2026

Corporate Relations Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Building, P J Towers

Dalal Street, Fort

Mumbai – 400 001 The Manager

Listing Department

National Stock Exchange of India Ltd

‘Exchange Plaza’, C-1, Block G,

Bandra – Kurla Complex, Bandra (E),

Mumbai – 400 051

Scrip Code: 500144 Scrip Code: FINCABLES

Sub: Transcript of the Analysts/Investors Meet held on 29th May 2026 at 4.30 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 29th May 2026 at 4.30 pm (IST) to discuss financial results of the Company for the quarter and Financial Year ended on 31st March 2026.

The transcript of recording can also be accessed on the Company's website at <https://www.finolex.com/View/Page/Analyst-meeting-transcript>.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For FINOLEX CABLES LIMITED

Siddhesh Mandke
Company Secretary &
General Manager (Legal)

Encl.: As above

Page 1 of 16

"Finolex Cables Limited
Q4 and FY26 Earnings Conference Call"
May 29, 2026

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– FINOLEX CABLES LIMITED

MODERATOR : MR. PRANAY PREMKUMAR – DENTSU ONE INVESTOR
RELATIONS

Finolex Cables Limited
May 29, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Cables Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Pranay Premkumar from Dentsu One Investor Relations team for opening remarks. Thank you, and over to you, Pranay.

Pranay Premkumar: Thank you, Ryan. Good evening and thank you all for joining us on the Finolex Cables Q4 and FY26 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited.

We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session. I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only.

I will now request Mr. Mahesh Viswanathan for the opening remarks. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, Pranay, and welcome, ladies and gentlemen. I'm sure you by now have seen the results, analysed and dissected it at your end. Briefly, I will go through the highlights. Revenue for Quarter-4 was up by about 22%, both year-on-year and quarter-on-quarter. For the full year, revenue was up about 19%.

EBITDA for Quarter-4, there was a 7% improvement year-on-year and 22% quarter-on-quarter. For the full year was about 14% better than last year. PAT for the quarter was approximately 6% better Y-o-Y and 19% better quarter-on-quarter. PAT for the full year was about 14% better than last year.

These are broad numbers. Of course, towards the end of Quarter-4, we had the shock from the Middle East, which resulted in cost increases across the board, while the LME copper did stay low for a couple of weeks, the rupee depreciation as well as cost hikes in most other raw materials meant that at the end, we were left with the higher cost of production than before and therefore, margins were slightly under pressure.

If I go into the individual segments for electrical sector, revenue was at INR 1,697 crores in the quarter was the highest that we've achieved, and it was about 22% higher Y-o-Y and 21% higher quarter-on-quarter. For the full year, about 22% higher than the previous year. EBIT numbers were also fairly strong, 30% higher on a quarter-on-quarter basis and 17% higher Y-o-Y. For the full year, EBIT was about 18% better than last year.

Finolex Cables Limited
May 29, 2026

Page 3 of 16

Some comments on the sector. There were certain product lines, which did extremely well, certain product lines where the growth was slightly lower and one product line where the growth was actually lower. Auto batteries, industrial flexibles and power, all these sectors did extremely well, generating approximately high-double digit growth in volume terms. Auto was about 30% higher. Flexibles were about 17% higher, and power was about 21% higher.

Solar cables, which we introduced last year in the fourth quarter, have been very well accepted, and we are nearing capacity utilization at this point in time. We are looking at increasing the capacity going forward. Building wire was steady, but had been impacted through the year because of constant copper price increases which meant that we had to pass it through to the customers. There were times when there was a resistance from the market. But overall, in the year, a

very marginal volume growth.

Agricultural applications was one area where there was an issue. The pre-seasonal monsoon plus continued monsoon both impacted the volumes. It was down by about 15%-16%. The year end Middle East disturbances, like I mentioned earlier, had some impact in terms of increased RM costs. And together, coupled with the INR depreciation meant that the overall cost of production was higher, inventory costs crept up a little bit. And that, of course, impacted the end of the year margins a little bit.

We had, during the year, close to 14 price changes, all upwards. And the effective price change at the market was about 24%-25% in most of the SKUs, this is on electrical. Coming now to communications side. Revenues, if you saw was kind of flat for the year, whereas quarter 4, we did well. We were up by about 30% Y-o-Y as well as quarter-on-quarter. Some background to this, fiber prices during most of the year, at least for the first 7-8 months were pretty low, but started hardening towards the end of quarter 3 and since then have continued to climb. Some of the reasons behind this, there is an explosion of data center applications in the U.S. and in Europe, which is practically eating up all available fiber supply. Currently, raw material availability is a constraint for everybody. Most capacities in China and Japan are blocked completely. Added to this is the newly found military obligations that have also pulled in a lot of fiber both the wars in Russia and in the Middle East have triggered newer applications and apparently fiber is getting consumed there. That has resulted in a hard supply kind of a scenario at this point in time, which has helped the fiber prices harder. But I think the advantage to us in terms of improvement in revenue, we should see some during the second half of this year. Our commitments locally, domestically, have been long-term yearly contracts, and those were at fixed prices, so until those contracts run out, we will not see the benefit coming into our financials. Hopefully, next year, when we renegotiate the prices that should change. On the fiber-related expansion part, we have commissioned the preform plant. I said in the last call that trials are likely to begin February and end in a month's time, so mid-March, we

Finolex Cables Limited
May 29, 2026

Page 4 of 16

commissioned the plant, and the plant should take another 2-3 months to settle down and stabilize. As of now, the performance is quite encouraging. The second part of that program, which was the fiber draw capacity expansion that should get completed by, July. Some capex will still come in the current year, but the preform related capex, Phase 1, where we were setting up the plant for 100 metric tons that has been completed now. Coming now to capex. Overall, we have spent about INR 240 crores last year, including infusion into the JV with Sumitomo. In the current year, that is 26-27, we expect to further spend another INR 200 crores on capacity expansion plans and complete the optic fiber preform-related capex, which is remaining, that will be another INR 100 crores, so that will be total spend in the current year. The cash flow from operations was about INR 50 crores lower than last year. But towards the end of the year, like I mentioned earlier, after the disturbances started in the Middle East, we had to take additional inventory coverage. If you looked at our balance sheet numbers, the inventory is up by about INR 300-odd crores, so part of that investment has gone in there. Because at that point in time, nobody was sure how long this, who would last or what impact it would have in the medium or even short term so we needed to protect ourselves to be able to run the plants in April, in May, so some amount of prebuying but at higher expenditure was done. I think we should be able to pass on the costs over a period of time to the end customer. It should

n

ot be a very long drag on the margins.

The other piece of information that I have is that the extra high-voltage JV with Sumitomo, that turned profitable this year. On a revenue of about INR 450 crores, we generated a profit of about INR 21 crores and the outlook is decent. We started the year with an order book of about INR 380 crores and so I think we have turned around the one corner.

These are broadly the comments that I had to make before giving the floor to you. I'm now free to take questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Manoj Gori from Equirus Capital.

Manoj Gori: My first question. First, obviously, I would like to congratulate you on your new role. My first question is on the Communication Cable segment. Obviously, when we look at the quarter, this was the record quarterly performance on the revenue side. And even we saw some improvement on the margins, which would have been because of the scale benefit also.

Now preform benefits are yet to kick in, and we have seen relatively better improvement on the margins. As you highlighted in your opening remarks that given the demand, especially from the West markets and some supply challenges, there is a huge scope for business into Communication Cable segment.

Finolex Cables Limited
May 29, 2026

Page 5 of 16

For our purpose, how should we look at the growth from here on? And probably, where do you expect given the current prices, where should we expect that the margins probably by FY27 should settle for Communication Cable segment? That's my first question.

Mahesh Viswanathan: Okay. At the moment, like I mentioned, supply chain, there are still some challenges. The one is on the regular business side; there is an extremely high demand towards data centers. But beyond that, there is this military application, defense application, which is also pulling in a lot of material. There are some restrictions in being able to participate in that because your raw material supplier also puts in covenants saying this cannot be used for military applications and so on, the opportunities then get a little limited on that side.

I think we will get a little more clarity once there is some finite information about what's happening in the Middle East. That keeps spooking the market every other day. And to predict what we will end up with at the end of '27, even though it is not a long-term prediction, is a little difficult at this point in time. Also, because of the exposure to defense applications, some governments have put in MROs on export of certain raw materials. We need to work around and see how those challenges are overcome.

While there is a big opportunity at this point in time and the prevailing fiber prices are fairly high at the same time, securing the required raw material also poses certain challenges so we need to work around it. At this point in time, I'm not able to really commit to a number or even predict a number but I think it should improve beyond what we have seen this year. This year, we ended the year with about, I think EBIT numbers was about 6%. I think we should do better than that.

Manoj Gori: Sure, sure. Got it. So, my second question is on the JV. So, after a long period, we have taken a lot of efforts on the EHV side. And probably this is the first year where we have finally seen some numbers actually flowing in. Can you highlight like what are the steps that we have taken, how should we look at this business from a 2-year, 3-year view, where we can actually end up by FY28 or '29 in terms of revenue? Because PBT when we look at INR21 crores at INR458 crores of revenue, close to around 5%. So probably the things are looking relatively brighter year. So what's the overall thought process on this business?

Mahesh Viswanathan: It has been a challenge for us over the last sever

al years that we've been invested in this JV.

Challenges were mainly around getting credentials for participation, showing experience and some of the voltage grades becoming commoditized in the meantime.

In the last year, our focus was more on the higher voltage grids and also a mix of projects where there were only supplies and projects which were turnkey basis, that gave us a little bit of, once we started getting in purely supply orders, then the cash turnaround times became smaller, whereas when you get into a project-based business, then the turnaround times are much longer. Typically, you are unable to clear your receivables until the entire project is completed. And with the EPC part involved getting clearances and right of way in many of our cities or even

Finolex Cables Limited

May 29, 2026

Page 6 of 16

sometimes in villages becomes a time-consuming issue, which drags the project for longer periods.

This year, we've been able to get an order blend of both pure supply as well as full turnkey solutions, that improved the operations quite a bit. The second part was to ensure and see that the key equipment, the capacity utilization improves further. At this point in time, the most key machinery there is occupied more than 80%.

In fact, we are planning to enhance capacity there so that, that would help us in increasing the overall plant capacity towards the 70%- 75% numbers. Utilization of capacity has been better this year, and that means fixed cost absorption is obviously better. And focus on the blend of orders that we were getting. I think that is going to continue to drive the strategy.

On the market side, there is a very large market. Currently, I think the size is about \$0.5 billion to \$750 million. But the requirements that we are seeing when we talk to utilities across the country. Eventually in 3 to 4 years, that size could go up to \$4 billion to \$5 billion so that's the kind of market expansion that we are seeing, or we are likely to see.

It is also backed up by the fact that many in the competition are today trying to and, some are adding and some are trying to add capacity of similar technology that we have. Until last year, they were not willing to spend that money but over the last year, we have seen many more from the competition follow the same technology that we have in terms of the vertical insulation so that is something that is catching up, so both from the market side as well as from our own experience, we see that there is scope for growth.

Moderator: Manoj, I would request you to please join back the queue for follow-up questions. We take the next question from the line of Veenit from Investec.

Veenit: I had one question in particular. When we look at housing wires, that hasn't been doing well for

us as well as the industry as much as we would have liked, particularly considering how real estate cycle has been over the last few years, particularly post-COVID, it had picked up quite sharply. So what is stopping wires as a segment to grow at least, let's say, in high-single digit in terms of volumes?

Mahesh Viswanathan: I think the runaway price escalation on copper, probably in terms of trade stocking is not at conservative levels. It is where they are looking at it tightly because like I said, we've had 14 changes over the last year and we've had one more this year.

I think that's been an issue. But where the material is going to projects, we don't seem to have a major issue. The retail part of stock and sell, which is, I think, a concern. For a distributor, a dealer to invest for amounts of money and hope that the price holds. I think that would be a challenge. That is a risk that less people are willing to take at this point in time.

Finolex Cables Limited

May 29, 2026

Page 7 of 16

Veenit: Sir, I meant the tertiary demand. Now given wires as a proportion of doing up a house is so small, why are we seeing volumes n

ot picking up? Or people deferring their purchases as far as the tertiary sales and housing wire is concerned?

Mahesh Viswanathan: I responded saying when I meant project sales, those are the sales which are going into builders or contractors or developers. That is stable. That has not dropped off. The retail one where you go to the hardware market or the electrical market and where the distributor is selling it or the dealer is selling it, that has taken a hit.

Veenit: Understood. And do you expect a similar phenomenon to play out in FY27 as well given price increases? Or we should see some bit of improved demand, let's say, in the next 12 months or so?

Mahesh Viswanathan: I'm not going to put my neck out there. I do not know how to predict that part. It depends all on the price movements finally.

Moderator: We take the next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Congrats on your new role. I have two questions. Firstly, we showed an improvement in terms of margins for our Communication Cables business. Could you explain as to what caused this? Is it like a product mix or pricing? What is the reason for this? And you also mentioned in your opening remarks that we have some contracts with customers, so the pricing may not change. So, will we benefit when the fiber prices have improved or will we not get a meaningful benefit there?

Mahesh Viswanathan: We should benefit except that the timeframe is probably around second quarter.

Pathanjali Srinivasan: Got it, sir. And the first question?

Mahesh Viswanathan: First question was how did we get 6%? There were a few orders besides the long-term contract which were taken at current prices, that improved the numbers.

Pathanjali Srinivasan: Okay, sir. And just one last question related to this. So, with our future orders when we say we have contracts, what proportion of our business is contracted and what will be like unutilized or uncontracted capacity? And preform started in this quarter. So, we start getting benefits from that only in this quarter, and we also have Q1 additional capacity coming for fiber. So, will all these things change our overall revenue base in a meaningful way?

Mahesh Viswanathan: Yes, it should change, but you will not see it in quarter 2. The preform part of it, like I mentioned, we commissioned it in March. For any plant with this technology to settle down, which takes about 3 to 4 months. I expect that benefit to kick in from the earliest I can talk about the end of quarter 2 or maybe quarter 3.

And the fiber draw capacity, which will get increased will get commissioned towards the end of quarter 2 so any benefit that we would get from that will only be after that, so the second half

Finolex Cables Limited

May 29, 2026

Page 8 of 16

provided there are no other hiccups on the supply chain part should be much better than last year.

Pathanjali Srinivasan: Got you, sir. In the last quarter, you mentioned that your revenue potential can be around INR 650 crores after this entire capacity comes. But this quarter, you're talking some INR 160 crores of revenue. So, is this largely price driven? So, at current prices, can the revenue be like ballpark of INR 1,200 crores, INR 1,300 crores?

Mahesh Viswanathan: Again, depends on the end user, at the SKU level, depending how complicated the construction of the cable is, for example, cable, which has got 2 fibers or 4 fibers it's not a very difficult design to make you are just paying for the raw material.

But as it goes into multiple fiber counts, are higher fiber counts, 144, 288 or even beyond that,

then the revenue per kilometer changes and changes substantially. It depends on what that order configuration looks like. But yes, given the price levels that are existing today, it can be beyond INR 750 crores.

Moderator: We take the next question from the line of Tushar Dhonde from Shanghavi Family Office.

Tushar Dhonde: First of all, congratulations on your induction to the new role. I have few questions. First one being, sir, if I see the Communication Cable segment has showed a good growth in this quarter Y-o-Y basis? I was just asking you to what's our outlook over here? I mean next few quarters could we expect similar such growth coming over the next few quarters as our preform capacity is live?

And on the preform capacity, you did mention that we will try to consume it internally. And then if we are left with the capacity, we will also try to sell it outside. How are we thinking on that? Do we have tied up with the customers for the selling of that capacity? And then I have a follow-up.

Mahesh Viswanathan: At this point in time, right now, the situation is that, like I mentioned in my opening remarks, fiber availability is a big issue at this point in time. There is no fiber to be had anywhere in the world and so any fiber that I can draw from my preform, I would use it myself, so selling a preform at this point in time, probably not the right area so that is today's case, how it might change 3 months from now, 5 months from now, that is something that we will have to look at, at that point in time. The second part of your question was?

Tushar Dhonde: Growth in the segment.

Mahesh Viswanathan: Yes. Look, as you are all aware, like in the West, there is an explosion of data centers coming into our country as well. And I think the government is also pushing to ensure that our data is hosted within our country and not outside. I'm guessing that will add to the number of data centers that get installed here over a period of time.

Finolex Cables Limited

May 29, 2026

Page 9 of 16

So yes, there is going to be growth. There is also going to be growth with the applications around AI and similar technologies. So it is, I think, the right time to be in this industry. Barring these hiccups around war disrupting supply chains, I think it should be a period of reasonably good growth over the next few years.

Tushar Dhonde: Okay. That's great to hear, sir. I just needed a clarification on the EBIT margin segmented and EBIT margin you calculate. I did see that communication cables has seen a significant jump. I just wanted to make sure that have we included other income as part of our EBIT margin calculation as well?

Mahesh Viswanathan: No. Other income is not included in this.

Tushar Dhonde: Other income is not included in this?

Mahesh Viswanathan: No. That is shown as unallocable items.

Tushar Dhonde: Okay.

Mahesh Viswanathan: At company level, it gets included, but at the segment level, not. Is that clear?

Tushar Dhonde: At company level, other income is around INR 32 crores, and at unallocable level, it's coming to be around INR 6 crores. I'm guessing the INR 24 crores would have been already included in above?

Mahesh Viswanathan: No. You're talking about other income on the top line, right?

Tushar Dhonde: For this quarter, it's around INR 32 crores.

Mahesh Viswanathan: If you look at the total that is around INR 237 crores for the year.

Tushar Dhonde: Yes, right.

Mahesh Viswanathan: And if you look at the unallocable total, that is about INR 224 crores for the year.

Moderator: We take the next question from the line of Nikhil Purohit from Fident Asset Management.

Nikhil Purohit: First question, what is the maximum revenue potential from the electrical cables segment? And currently, what is our utilization rate? And what is the target utilization rate for next year?

Mahesh Viswanathan: We keep enhancing capacities by rebalancing almost every year. Within the capex that we spend, there is a certain amount which is spent every year on adding 2 different lines. Basis, the capacity that was available, let's say end of March, utilization would be around the mid-60s, there is some ability to grow further.

Nikhil Purohit: Maximum revenue potential?

Finolex

Cables Limited

May 29, 2026

Page 10 of 16

Mahesh Viswanathan: Revenue potential can be at about 80%-85% if somebody is operating, they are doing a good job because this is not a single machine, one process. These are multiple machines with multiple processes. Not all of them are equally balanced, there will be always some bottleneck either at the beginning or at the end or in the middle.

And therefore, if someone is able to achieve 80%- 85%, I think they are doing a fairly good job of running the plant. There is a headroom, 66% is where we're operating so about 15% headroom is still available. Your revenues at current prices can go up by another 15% without major investments.

Nikhil Purohit: Got it. Got. And could you give the Retail versus project mix this quarter. And where do you see this going again because of the margins that play out because of the share?

Mahesh Viswanathan: The retail versus project, you're talking about electrical wire?

Nikhil Purohit: Correct.

Mahesh Viswanathan: I think in the past our retail to project ratio would have been, 80/20. Now, probably it's around two-thirds, one-third.

Nikhil Purohit: Okay. And just last question on the communication side. So what is our utilizable capacity for OFC right now? And when will we hit the 8 million fiber kilometer mark and our target utilization because you said the fixed contract should get over by quarter 2, I think. So if you could throw some light there.

Mahesh Viswanathan: The draw capacity that we have currently is 4 million kilometers. That should cross 8 by hopefully by end of second quarter, that means 8 million capacity will be available from beginning third quarter, so 4 million is what is available for us to operate in this point time. We are close to three and a quarter, I think, at this point in time.

Nikhil Purohit: Sorry. Our utilization rate, you said is, in optic fiber cables.

Mahesh Viswanathan: It'll be about 3.2 out of the 4.

Nikhil Purohit: And if we hit the 75% rate. We guided 8% to 9% EBIT margins. We've already hit 6%. So is it right to assume that earlier you said that it should improve in FY27, we hit the 9% mark?

Mahesh Viswanathan: Yes, subject to no supply chain constraints being there. There are supply chain issues at this point in time. Especially things that we import either from Europe or China, there are difficulties or time lags in getting those so that needs to be resolved.

Nikhil Purohit: But the fixed contracts problem should not ideally stop our growth, right, apart from quarter 1.

Mahesh Viswanathan: No, that should not. We will renegotiate; the contract is valid until June. And the next contract when they come with the tender and the bids, we will renegotiate.

Finolex Cables Limited

May 29, 2026

Page 11 of 16

Nikhil Purohit: Got it. And within FMEG, what kind of growth did we see in the PVC conduits and Fans business for FY26, just to understand?

Mahesh Viswanathan: Fan has been a difficult product line this year because in the initial part of the year, you had unseasonal rains, and towards the second half of the year, there were changes to the BIS norms, which meant that people were destocking any inventory that they had and they wouldn't want to take fresh inventories, that has been an issue. Fan actually did not grow in volume terms.

Conduits has done very well, we are now operating at close to 85%, I think.

Moderator: We take the next question from the line of Akshat Mehta from Seven Rivers Holdings.

Akshat Mehta: Yes, sure. Can you just help me understand in the communication cables how much is coming from optic fiber and how much is coming from other communication cables on a rough basis?

Mahesh Viswanathan: About three-fourths will be optic fiber related.

Akshat Mehta: And sir, just wanted to understand since you just started, it's been 2 months since you started the preform plant. Where are we getting and how easy it is for us to get germanium?

nium?

Mahesh Viswanathan: That is the challenge. That is, I kept referring to supply chain difficulty that is the challenge. Fortunately, we do not require massive amounts, but it is a challenge that we need to overcome.

Akshat Mehta: Currently, how much inventory of germanium would be there with us, for how many months?

Mahesh Viswanathan: I think that is sufficient to run a few months.

Akshat Mehta: Okay. And any kind of, you know, that you have for the FMEG segment as well that we want to grow and we are focusing right now on optic fiber more as a whole?

Mahesh Viswanathan: As I said, I didn't get your question.

Akshat Mehta: I just want to understand if there is any kind of outlook that you can give on the FMEG business as well.

Mahesh Viswanathan: Yes. Our performance has been under par there. That is something that we realize and appreciate. We are relooking at the portfolio in terms of what kind of products are we having there? Do we need to modify some of those? We are also looking at how to strengthen the teams. Distribution is something that we've been working on and that we will continue to engage with the distributors to ensure that both geography as well as products are fully covered. It is going to be a continuous exercise this year. We definitely want to make this success in the same manner as the other

product lines.

Moderator: We take the next question from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: Most of the questions have been answered. Just one clarification. I remember we met you in the month of December last year, and you have said we are working certainly something in the Finolex Cables Limited

May 29, 2026

Page 12 of 16

exports area. So how exports are shaping up for us? And what is the exports percentage this year?

Mahesh Viswanathan: This year, our team was completely revamped. I think we've had a team in place for about 6 months of the year, and they have made inroads and have done well. Earlier '24- '25 export performance was, just around INR 30 crores which went up to INR 52 crores this year.

We are looking at much higher numbers for the current fiscal. The team is a completely new and is better prepared, I think we should be able to show a larger revenue share from the export side.

Until last year, the revenue share was, let's say, about 0.5% to just under 1%. I see it climbing to about 2% to 3% over the next 2 years.

Moderator: We take the next question from the line of Sushil C Choksey from Indus Equity Advisors.

Sushil C Choksey: Congratulations on your new designation and very good result. Sir, my first question is, given the situation, boom in solar, not only in India but outside of China also because of the energy crisis and led by data center, defense and other optic fiber also, what is the potential to maximize capacity what we have, but double the capacity or enhance our capacity and how much time will it take? And what kind of capex is required for that? And current capex, which you announced, what is the breakup of that?

Mahesh Viswanathan: The current capex that I announced includes doubling the solar capacity so we are cognizant of the potential there, and we are going to double the line there and that would be helpful for us, not just on the fiber side, but also on the power cable side, both for ourselves as well as for the JV. We are engaging with all those customers.

The gestation time for these orders was pretty long, so you need the resources there, before the order book starts, I think both JV and us have certain amount of capacity to cater to the data center needs and power cables. As I mentioned earlier on when I was talking about the JV, we are seriously looking at expanding some of the capacities there also.

Sushil C Choksey: And what is our potential capability to go further backward where communication optic fiber cables are concerned from where we are at preform?

Mahesh Viswana

than: Going behind preform means that we will have to produce the silica. At this point in time, that is not in our plans at this point in time.

Moderator: We take the next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Just to confirm 2 things, sir. One is you mentioned that the revenue potential from the expanded line can be around INR 750 crores. I think right now, based on whatever...

Mahesh Viswanathan: I meant including the existing stuff, the overall capacity. After we expand, then the potential could be around INR 750 crores.

Finolex Cables Limited

May 29, 2026

Page 13 of 16

Pathanjali Srinivasan: Correct. That is for 8 million kilometers. Is that correct?

Mahesh Viswanathan: Yes

Pathanjali Srinivasan: Okay. And how will the benefit of preform show up, sir? Will it show up as lower cost of production? Or how will that show up?

Mahesh Viswanathan: One of the earlier questions also was, are we going to earmark a certain capacity to sell preforms outside. Now that is a possibility. It depends on what the market conditions are at any point in time. It's a flexibility that we will have so if I am short on cable orders, and higher on fiber orders, then I will sell the preform.

It gives us flexibility. I think overall, the intention is to use the preform to convert it into fiber, which again to convert it into cable and then sell it, which means our ability to participate in tenders where pricing sometimes becomes aggressive is available to us or depending on situations like today where the fiber prices are extremely high, we don't have to sell the preform.

We can convert it into fiber and take that profitability into the books; it is not a static onetime charge that I will have. It will be dynamic as the market demands.

Pathanjali Srinivasan: Got it, sir. Just a related question I have, sir. So here, when you mentioned that if we use it internally, like versus previously you would have been buying from outside, what would the margin benefit be there from this?

Mahesh Viswanathan: I don't have the exact numbers in front of me. But typically, once your production line stabilizes,

you should be able to get it better than market. Whether I'm able to get it better than market at 5% or 10%, that would depend on how quickly I'm able to stabilize operations. That's about as much as I can say at this point in time. I don't want to stick my neck to a single figure.

Pathanjali Srinivasan: No, sir, I was expecting only a range. I'm not trying to get a very specific number.

Mahesh Viswanathan: Yes. That's what I'm saying, depending on how quickly we are able to stabilize the operations, I think we should be better than market by anywhere between 5% and 10% because the preform seller is also making some money.

Pathanjali Srinivasan: Got it, sir. Congrats on good set of numbers.

Moderator: We take the next question from the line of Miraj Shah from Sameeksha Capital.

Miraj Shah: Sir, if you could just repeat the capex figures that you mentioned, is it INR 200 crores or INR 300 crores? That's my first question. Secondly, if you could also let me know what are your -- what is your guidance for the coming years in terms of revenue and margins?

And lastly, my final question is that if you could, this quarter, we have seen our operating expenses as a percentage of sales come down. When I look at the past 12 quarters, we are in one of the sweetest spots. We are currently, our employee expenses as a percentage of sales and other

Finolex Cables Limited

May 29, 2026

Page 14 of 16

expenses as a percentage of sales, both are lowest in the past 12 quarters. So, do we expect them to continue in this range? Or do we expect it to revert to normalcy?

Mahesh Viswanathan: Let me answer your questions one by one. Your first question was on the capex; I said capacity enhancement is about INR 200 crores. Additionally, the plan of ex

pansion on the optic fiber,

optic fiber cable side, which we had announced 2 years ago and which is ongoing, there is a balance of about INR 100 crores to be spent because like I said, the expansion to 8 million kilometers of fiber will get over in July or August, so all that will cost another INR 100 crores, so totally INR 300 crores, out of which INR 200 crores is completely new, which is for capacity enhancements. Is that clear?

Miraj Shah: Yes, Clear, sir.

Mahesh Viswanathan: Okay. Your second part was on guidance. I actually do not give out any guidance, especially in a situation like today, where you do not know whether the war is ending tomorrow because you keep hearing that today is ending, no but it's not ending. And tomorrow, I have an agreement, no, I don't have an agreement. So, it is a very volatile situation.

I don't think I should be predicting anything. All we do is internally, we have targets that we are working towards and that is subject to certain constraints not being there or certain level of constraints not being there. At this point in time, I would not like to, talk about any guidance numbers. And there was a third point that you wanted, what is that?

Miraj Shah: Our other expenses and employee costs as a percentage of sales.

Mahesh Viswanathan: I think on an annual basis, it should be similar. In between quarters, you might see differences. But overall, at an annual level, we should be similar to what we have today.

Miraj Shah: To what we did in FY26?

Mahesh Viswanathan: Yes.

Moderator: We take the next question from the line of Prateek Shrivastava from Nivesh Wisdom.

Prateek Shrivastava: First of all, congratulations on your promotion. Sir, my question again on the OFC side of things. So sir, if it from the first half of FY25 -- sorry, overall FY25 and overall FY26, I see the revenues from our communications being the same around INR 500 crores. Can I understand that, sir, that you are saying that in the first half of FY26, prices were depressed. They only started recovering towards the second half. So can you give in terms of volume, what was the volume growth between FY25 and FY26?

Mahesh Viswanathan: About 7%.

Prateek Shrivastava: About 7%. Okay. And what are we targeting, sir, moving into the next year, in terms of volume growth?

Finolex Cables Limited

May 29, 2026

Page 15 of 16

Mahesh Viswanathan: Again, we made our budgets 2 months ago. At that point in time, the expectation around what is happening in the Middle East was that it should settle soon. But it's been 3 months since that act started and no 2 days are different. You go back and forth, back and forth, back and forth. There is no clarity as yet, which means quite a bit of the supply chain is impacted. And then you heard someone asked a question about germanium. Again, the supplies have to come either from China or from Europe.

Both have put serious restrictions on exports from their side because they themselves have

extremely high demand. And the fact that it can be used for defense purposes is, I guess, worrying most people so to be able to predict which way things will move at this point in time is kind of difficult. I would like to avoid making that prediction.

Prateek Shrivastava: So, is this problem faced by the entire industry? Or is it just with...

Mahesh Viswanathan: It is faced by many people in the industry. Anybody that is producing preform would face it.

Anybody that is buying preform and drawing the preform would also face it because glass is not available for any kind of money. There are very few people who are able to get glass from outside and only those that have signed on long-term contracts, where, again, the price is going crazy. It is a problem that is being faced today. Now how it will pan out in 3 months, I won't be able to comment on that, I hope it turns out for the better. But at this point in time, I'm not able to tell.

Prateek Shrivastava:

Yes, sir, that we can understand. And my last question, sir, on the order book on this side of things, can you throw some light on the order book we have?

Mahesh Viswanathan: The order book, like I said, there is one major contract, which will come up for renewal in, end of June. I don't see why we should not be able to renew it because we've been their suppliers for the last 8 years, product-wise, they are very happy with us and quality-wise, they are very happy with us. I don't see why that should not repeat. Beyond that, and that takes up about slightly more than half of the capacity. The balance is sold to other customers. In terms of volume, I don't see why we should not do something similar or better than last year.

Prateek Shrivastava: And the size of the order book, sir?

Mahesh Viswanathan: I don't have that number in front of me. But I'm quite comfortable with saying that it should be better than last year.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Mahesh Viswanathan: Thank you. Thank you for all your good wishes, and thanks for participating in today's meeting.

Moderator: Thank you. Thank you. On behalf of Finolex Cables Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Finolex Cables Limited

May 29, 2026

Page 16 of 16

This document is a transcript and may contain transcription errors. While every effort has been made to ensure a high degree of accuracy, the Company or sender assumes no responsibility for any such errors.